

KiwiSaver Performance Survey June Quarter 2011

The second quarter of 2011 produced mixed results as the high Kiwi dollar affected returns from offshore assets, but medium-term results continue to stack up – especially if you focus on money-weighted returns.

Chris Douglas
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Morningstar has released its quarterly KiwiSaver Performance Survey, designed to help New Zealand investors assess the performance of their KiwiSaver superannuation options.

The accompanying tables show KiwiSaver fund returns for the three and six months and one, two, and three years to 30 June 2011. There were no fund additions this quarter. As a result of Fisher Funds' acquisition of the Huljich KiwiSaver business, the Huljich funds have been removed from our database, and the assets have flowed through to Fisher's KiwiSaver funds.

Market Overview

Investment markets produced mixed returns over the past quarter, the domestic fixed interest and sharemarkets easily outperforming global peers. This was driven by the high \$NZ, which continued to soar against most other currencies.

Cash returns remain low – the New Zealand 90-Day Bank Bill Rate has trended below three percent over the past year. New Zealand fixed interest, however, had a strong quarter, and proved a strong contributor to balanced fund returns over the past year. Corporate bonds on aggregate were up 8.05 percent,

while government bonds posted 6.76 percent for the past year. Returns from New Zealand corporate and government bonds were up 9.52 and 8.25 percent respectively over the past three years. Investors in global fixed interest, though, have had to endure a more challenging environment. In most other markets global bond returns have been negative over the past year. However, when hedged back to the \$NZ, our top-performing currency resulted in a low single-digit result for the quarter, and 4.95 and 8.79 percent over one and three years respectively.

Global property remained a very strong performer over the past year, despite a flat quarter. New Zealand listed property, on the other hand, had a very strong quarter, up over seven percent, and posted a strong 22.0 percent gain for the past year. The Kiwi sharemarket produced a very modest gain of only 0.25 percent over the past three months, but was up a much more healthy 16.02 percent over the past 12 months. Those with a heavy Australian bias would have struggled, though, as that market fell -8.23 percent in \$NZ terms over the past three months. Global sharemarkets followed the same trend as Australia, down -7.21 percent in \$NZ terms for the June quarter, although posted a solid 8.27 percent over the past 12 months.

Fund Manager Results

The mixed returns from sharemarkets resulted in KiwiSaver options with higher exposures to income assets (cash and fixed interest) outperforming those with more invested in growth assets (shares and property) over the June 2011 quarter. Multi-Sector Conservative and Moderate options were generally the best performers over the three months to 30 June 2011. This was a change from the last 18 months, when higher-risk options outperformed.

OnePath (mapping to SIL, ANZ and National Bank KiwiSaver options), Mercer, and Westpac were the best-performing multi-sector KiwiSaver options in the second quarter of 2011. Among the single-sector vehicles, listed property and domestic fixed income funds were the best performers – unsurprisingly, given the returns from these asset classes. Over the past year, though, growth-oriented funds have remained in front, multi-sector growth options easily producing returns well into the double-digits. Westpac and OnePath in particular led the way here.

Looking out over one and three years is of course a better indicator of a fund manager's performance record. The best-performing multi-sector fund has been **Fisher Funds Growth KiwiSaver**, streaks ahead of peers over the past three years. Aon has the number two and three spots, **Aon KiwiSaver Russell** and **Aon KiwiSaver OnePath** the next best performers. Of the single-sector options, listed property funds' one-year returns have benefitted from the strong performance of the Kiwi and global listed property markets in the second quarter of 2011. New Zealand property returned 22.08 percent, and global property 44.16 percent over the past year. The strongest performances were produced by **SIL KiwiSaver International Property** and **SIL KiwiSaver Australasian Property**. **Fidelity KiwiSaver Options Kiwi** continues to be one of the best-performing funds over one year, and was the best-performing KiwiSaver fund on our database over the past three years.

Investor Returns

Looking through the short-term noise, how have the different categories performed over the past one- and three-year periods?

Table 1 below shows the average returns for each of the five Morningstar multi-sector KiwiSaver categories. The three-year number goes back to July 2008, so still includes the heavy selloff in sharemarkets, which had a major impact on returns.

Table 1: Time-Weighted Calculation KiwiSaver Category Performance Averages to 30 June 2011

Fund Category	1 Yr %	3 Yr %pa
Multisector Conservative	6.64	5.43
Multisector Moderate	8.65	5.22
Multisector Balanced	9.78	4.02
Multisector Growth	11.98	2.35
Multisector Aggressive	12.19	3.12

Source: Morningstar

Table 1 doesn't tell the full story, though. Most KiwiSaver investors don't just invest a lump sum, but instead add to their investment incrementally. It's this systematic drip-feeding which time-weighted calculations such as those shown in Table 1 miss. For this reason, Morningstar also looks at 'money-weighted' returns, which we call 'investor returns'. This accounts for aggregate monthly purchases and sales by all of a fund's investors. As Table 2 below shows, this tells a very different and more powerful story. KiwiSaver truly has been a great experience for the majority of investors. Table 2 shows us that when looking out over three years, investors in the more growth-oriented funds have experienced very strong results, despite the highly-volatile market conditions. This illustrates the power of a systematic dollar cost averaging process.

Table 2: Money-Weighted Calculation – 'Investor Returns' KiwiSaver Category Performance Averages to 30 June 2011

Fund Category	1 Yr %	Diff % *	3 Yr %pa	Diff % *
Multisector Conservative	6.32	-0.32	6.37	0.94
Multisector Moderate	8.11	-0.54	6.89	1.67
Multisector Balanced	8.86	-0.92	6.77	2.75
Multisector Growth	10.77	-1.21	6.25	3.90
Multisector Aggressive	11.81	-0.38	7.51	4.39

Source: Morningstar. * 'Diff' shows the difference in return from the equivalent period in Figure 1.

ASB Hikes KiwiSaver Fund Fees

ASB increased the fees for a number of its KiwiSaver options on 1 April 2011. ASB, the second-largest KiwiSaver provider with over 20.0 percent market share and NZ\$1.78 billion in KiwiSaver assets, claimed that it was simplifying its fees structure, but also increasing the cost to investors as a result of “technology changes and increased communication costs”. Given the tremendous success of KiwiSaver and the amount of money ASB manages, this was a surprise move, and while we applaud a more transparent approach, the increase in fees made no sense to us. The size and scale of the firm, and the largely passive (and therefore low-cost) nature of its investments, alongside the economies of scale from the predicted growth rate of KiwiSaver assets, should be keeping costs down. Table 3 below shows these fee changes. Some are significant increases.

Table 3: ASB and FirstChoice Fee Changes, April 2011

Fund Name	Old Fee %*	New Fee %	Diff %	Change %
ASB KiwiSaver NZ Bank Dep	0.35	0.35	-	-
ASB KiwiSaver Cnsv (Default)	0.40	0.40	-	-
ASB KiwiSaver Moderate	0.49	0.60	0.11	22.45
ASB KiwiSaver Balanced	0.49	0.65	0.16	32.65
ASB KiwiSaver Growth	0.49	0.70	0.21	42.86
FC KiwiSaver Active Cnsv	0.83	0.80	-0.03	-3.61
FC KiwiSaver Active Balanced	0.88	0.85	-0.03	-3.41
FC KiwiSaver Active Growth	0.93	0.90	-0.03	-3.23
FC KiwiSaver Active H Growth	1.03	1.00	-0.03	-2.91
FC KiwiSaver Global Sustain	1.53	1.50	-0.03	-1.96
FC KiwiSaver NZ Cash	0.35	0.35	-	-
FC KiwiSaver Tracker Cnsv	0.40	0.40	-	-
FC KiwiSaver Tracker Mod	0.49	0.60	0.11	22.45
FC KiwiSaver Tracker Balancd	0.49	0.65	0.16	32.65
FC KiwiSaver Tracker Growth	0.49	0.70	0.21	42.86

* Includes a recovered operational expense of 0.12 percent.

Source: Morningstar. Data rounded to two decimal places.

After-Tax Returns Are Here

Morningstar has started producing after-tax returns for the majority of KiwiSaver funds on our database. We will continue to produce our KiwiSaver survey on a gross of tax, net of fee basis, but our clients will now be able to see the after-tax performance

of KiwiSaver funds. We will include some after-tax performance numbers and commentary in future editions of this free KiwiSaver Performance Survey.

Assets Under Management

KiwiSaver assets on the Morningstar database have grown from NZ\$954.10 million at 30 June 2008 to NZ\$8.53 billion at 30 June 2011, a phenomenal growth rate. Fisher Funds almost doubled the size of its KiwiSaver assets following the Huijich acquisition. This did little, though, to change the absolute rankings of KiwiSaver provider assets, although Fisher Funds is now just short of a number of default providers when measured by KiwiSaver assets. OnePath and ASB remained the dominant players at 30 June 2011, with 45.40 percent of KiwiSaver assets between them. The top eight KiwiSaver providers manage almost 95.0 percent of the assets on the Morningstar database.

About This Survey

This survey groups KiwiSaver options according to their mix of income and growth assets, or their 'asset allocation'. This is one of the most important decisions to make when saving for retirement income. The term 'income assets' refers to cash and fixed interest securities which generally produce stable and reliable returns, but offer little opportunity for long-term capital growth. Returns from 'growth assets' such as property and shares will be erratic – as recent market volatility has demonstrated – but have over time shown greater capacity for increasing in value. The mixture of income and growth assets is the major determinant of potential return and volatility.

Investors may notice differences between the returns published in this survey and those they see in other sources. There are several possible reasons for this. Firstly, the returns published here are all after fees, but before tax. Secondly, we take the associated tax credit into consideration when calculating and publishing these returns, while some fund managers base their published performance figures on month-end unit prices only. ■■■

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KiwiSaver Performance Survey - Returns to 30 June 2011



Please note:

- Past performance is not a guide to future performance. This year's best performers can easily be next year's worst.
- Understanding your risk profile, and the mix of growth and income assets is critical.
- Fees are the one constant that will always eat away at your returns. Take a close look at the cost of your KiwiSaver Scheme.

Default Options

	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	Growth Assets (%)
AMP Default Fund	354.6	0.42	1.51	5.75	5.24	3.80	0.55	36.00	20.9
ASB Scheme's Cnsv (Default)	932.5	0.71	2.59	6.62	6.75	5.56	0.40	30.00	19.5
AXA Income Plus (Default)	453.0	0.29	2.16	6.65	7.86	5.64	0.53	36.72	20.0
Mercer Conservative (Default)*	442.8	1.53	2.42	5.17	8.68	5.99	0.53	34.20	20.1
OnePath Conservative (Default)	421.9	1.28	3.24	7.26	7.54	5.86	0.45	33.00	20.1
TOWER Cash Enhanced (Default)	324.7	1.00	2.47	5.86	6.35	4.71	0.51	33.00	23.3

Peer Group Averages

	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year**	
Default Options	2929.5	0.87	2.40	6.22	7.07	5.26	0.50	33.60	
Conservative (Including Default Options)	3452.3	0.97	2.68	6.64	7.04	5.43	0.67	33.60	
Moderate	1065.3	0.75	2.86	8.65	9.17	5.22	0.79	35.10	
Balanced	1470.8	-0.39	2.18	9.78	9.98	4.02	0.88	36.00	
Growth	1320.2	-0.67	2.75	12.19	11.64	3.12	0.92	34.20	
Aggressive	637.0	-2.70	0.93	11.98	11.60	2.35	0.99	34.20	

Multisector Options

Conservative

	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	Growth Assets (%)
AMP Default Fund	354.6	0.42 (14)	1.51 (15)	5.75 (13)	5.24 (12)	3.80 (14)	0.55	36.00	20.9
ANZ Conservative	55.3	1.39 (2)	3.18 (4)	7.16 (5)	7.68 (7)	5.81 (6)	0.92	24.00	20.1
Aon Russell Lifepoints Cnsv	26.5	1.32 (5)	3.00 (6)	8.22 (1)	11.83 (1)	7.37 (1)	0.56	50.00	Und.
ASB Scheme's Cnsv (Default)	932.5	0.71 (11)	2.59 (8)	6.62 (8)	6.75 (9)	5.56 (8)	0.40	30.00	19.5
AXA Income Plus (Default)	453.0	0.29 (15)	2.16 (13)	6.65 (7)	7.86 (3)	5.64 (7)	0.53	36.72	20.0
FC Scheme's Tracker Cnsv	50.9	0.73 (10)	2.57 (9)	6.60 (9)	6.72 (10)	5.55 (9)	0.40	36.00	19.5
Fidelity Capital Guarant Kiwi	22.2	0.59 (12)	2.16 (12)	5.14 (15)	5.09 (14)	4.56 (12)	0.84	36.00	11.5
Fidelity Conservative Kiwi Fd	28.2	0.49 (13)	2.88 (7)	7.72 (2)	7.85 (4)	5.46 (10)	0.94	36.00	33.4
Fisher Funds Conservative Fund	103.9	0.85 (9)	3.53 (1)	6.51 (11)	3.39 (15)	--	0.95	24.00	10.0
Mercer Conservative (Default)*	442.8	1.53 (1)	2.42 (11)	5.17 (14)	8.68 (2)	5.99 (2)	0.53	34.20	20.1
National Bank Conservative	79.7	1.38 (4)	3.18 (5)	7.16 (6)	7.69 (6)	5.85 (5)	0.92	24.00	20.1
OnePath Conservative (Default)	421.9	1.28 (6)	3.24 (2)	7.26 (3)	7.54 (8)	5.86 (4)	0.45	33.00	20.1
SIL Conservative	154.2	1.39 (3)	3.20 (3)	7.23 (4)	7.77 (5)	5.96 (3)	0.87	24.00	18.3
Smartshares Conservative	2.1	1.08 (7)	2.14 (14)	6.56 (10)	5.10 (13)	3.83 (13)	0.85%/\$40	0.00	20.0
TOWER Cash Enhanced (Default)	324.7	1.00 (8)	2.47 (10)	5.86 (12)	6.35 (11)	4.71 (11)	0.51	33.00	23.3
<i>Average</i>		<i>0.97</i>	<i>2.68</i>	<i>6.64</i>	<i>7.04</i>	<i>5.43</i>	<i>0.67</i>	<i>33.60*</i>	

Moderate

	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	Growth Assets (%)
AMP LS Conservative Fund	42.3	1.21 (3)	2.59 (10)	7.10 (14)	6.68 (17)	5.68 (5)	0.88	36.00	52.1
AMP LS Moderate Fund	86.0	0.50 (13)	1.86 (17)	7.89 (11)	7.19 (16)	3.70 (16)	0.98	36.00	60.9
ANZ Conservative Balanced	53.3	1.20 (4)	3.63 (4)	9.55 (7)	9.50 (8)	5.63 (8)	0.92	24.00	34.8
Aon Russell Lifepoints 2015	2.4	0.89 (7)	2.61 (9)	9.28 (8)	12.90 (2)	6.29 (1)	0.60	50.00	Und.
Aon Russell Lifepoints Mod	5.0	0.61 (10)	2.31 (14)	9.89 (2)	13.19 (1)	5.75 (4)	0.64	50.00	Und.
ASB Scheme's Moderate	220.6	0.10 (16)	2.92 (7)	9.63 (4)	9.66 (6)	5.09 (12)	0.60	30.00	39.2
AXA Conservative	15.7	0.28 (14)	2.39 (12)	7.62 (12)	8.54 (12)	5.86 (2)	1.04	36.72	25.0
FC Scheme's Active Cnsv	4.4	0.06 (17)	2.49 (11)	7.19 (13)	7.90 (14)	5.40 (10)	0.80	36.00	Und.
FC Scheme's Tracker Moderat	12.0	0.12 (15)	2.89 (8)	9.60 (5)	9.67 (5)	4.94 (15)	0.60	36.00	39.2
Grosvenor Conservative Fund	17.4	0.80 (9)	3.91 (1)	6.38 (15)	7.32 (15)	5.68 (6)	0.98	39.96	22.5
Mercer Super Trust Conserv*	1.4	1.20 (5)	2.37 (13)	5.96 (17)	8.98 (9)	4.99 (14)	0.88	34.20	32.2
National Bank Conservative Bal	68.8	1.18 (6)	3.62 (5)	9.57 (6)	9.53 (7)	5.63 (7)	0.92	24.00	34.8
OnePath Conservative Balanced	2.2	0.86 (8)	3.46 (6)	9.25 (9)	8.63 (11)	5.28 (11)	0.50	33.00	34.8
SIL Conservative Balanced	51.8	1.22 (2)	3.66 (3)	9.63 (3)	9.68 (4)	5.82 (3)	0.87	24.00	33.0
Smartshares Balanced	5.0	0.54 (12)	1.88 (16)	13.36 (1)	9.85 (3)	2.41 (17)	0.85%/\$40	0.00	60.0
TOWER Conservative	32.6	0.58 (11)	2.31 (15)	6.35 (16)	8.71 (10)	5.04 (13)	0.88	33.00	32.6
Westpac Conservative Fund	444.5	1.43 (1)	3.77 (2)	8.72 (10)	8.03 (13)	5.60 (9)	0.62	31.08	28.3
<i>Average</i>		<i>0.75</i>	<i>2.86</i>	<i>8.65</i>	<i>9.17</i>	<i>5.22</i>	<i>0.79</i>	<i>35.10*</i>	

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Balanced	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	Growth Assets (%)
AMP LS Balanced Fund	129.8	-0.39 (13)	0.88 (22)	9.41 (14)	8.15 (17)	2.12 (22)	1.03	36.00	66.8
AMP LS Moderate Balanced Fund	122.7	-0.16 (11)	1.18 (20)	8.74 (16)	7.75 (20)	2.44 (20)	1.03	36.00	69.7
AMP TOWER Balanced Fund	7.9	-1.17 (19)	0.27 (23)	6.74 (21)	9.60 (14)	3.01 (18)	1.24	36.00	69.2
ANZ Balanced	83.7	0.88 (1)	3.91 (1)	11.61 (8)	11.05 (9)	5.30 (6)	0.97	24.00	50.1
Aon OnePath Balanced	6.5	0.88 (2)	3.15 (6)	12.27 (2)	14.08 (2)	6.97 (1)	0.71	50.00	Und.
Aon Russell Lifepoints 2025	3.9	0.21 (7)	1.88 (14)	10.86 (11)	13.96 (3)	4.25 (10)	0.68	50.00	Und.
Aon Russell Lifepoints Bal	30.3	-0.12 (10)	1.57 (16)	11.70 (5)	14.52 (1)	3.82 (14)	0.71	50.00	Und.
ASB Scheme's Balanced	174.3	-0.83 (16)	2.89 (7)	12.23 (3)	11.29 (6)	3.92 (12)	0.65	30.00	59.2
AXA Balanced	82.7	-1.72 (23)	1.12 (21)	10.91 (10)	10.93 (10)	4.07 (11)	1.07	36.72	60.0
Brook Professional Balanced Fd	1.0	-2.07 (24)	0.12 (24)	5.44 (24)	4.57 (23)	2.42 (21)	0.99	30.00	51.1
FC Scheme's Active Balanced	16.5	-1.19 (20)	2.19 (12)	9.92 (12)	9.67 (13)	3.50 (17)	0.85	36.00	Und.
FC Scheme's Tracker Balanced	14.7	-0.81 (15)	2.87 (8)	12.20 (4)	11.29 (5)	3.88 (13)	0.65	36.00	59.2
Fidelity Balanced Kiwi Fund	63.2	-1.55 (22)	1.53 (17)	8.24 (20)	7.77 (19)	5.12 (7)	1.00	36.00	62.2
Fidelity Ethical Kiwi	5.6	-1.07 (18)	1.69 (15)	8.37 (18)	7.52 (21)	2.70 (19)	1.17	36.00	59.8
Forsyth Barr Balanced Port	3.5	-0.51 (14)	1.18 (19)	5.64 (23)	5.43 (22)	1.07 (23)	0.65	30.00	63.6
Grosvenor Balanced Fund	52.9	-1.40 (21)	2.49 (9)	6.62 (22)	7.86 (18)	4.43 (9)	1.08	39.96	49.0
Mercer Balanced*	23.2	0.19 (9)	2.45 (10)	9.78 (13)	11.73 (4)	3.68 (15)	0.75	34.20	65.1
Mercer Super Trust Moderate*	10.7	0.50 (5)	2.43 (11)	8.63 (17)	10.33 (12)	5.34 (5)	0.68	34.20	54.7
Milford Balanced	1.9	-0.29 (12)	2.12 (13)	9.10 (15)	--	--	1.05	36.00	53.6
National Bank Balanced	125.1	0.87 (3)	3.90 (2)	11.62 (7)	11.05 (8)	5.35 (4)	0.97	24.00	50.1
OnePath Balanced	5.3	0.33 (6)	3.53 (5)	11.07 (9)	9.59 (15)	4.52 (8)	0.55	33.00	50.1
SIL Balanced	133.1	0.86 (4)	3.90 (3)	11.62 (6)	11.17 (7)	5.52 (2)	0.92	24.00	46.9
TOWER Balanced	169.7	-1.02 (17)	1.23 (18)	8.35 (19)	9.54 (16)	3.67 (16)	0.98	33.00	57.0
Westpac Balanced Fund	202.6	0.20 (8)	3.85 (4)	13.60 (1)	10.72 (11)	5.46 (3)	0.72	31.08	65.4
<i>Average</i>		<i>-0.39</i>	<i>2.18</i>	<i>9.78</i>	<i>9.98</i>	<i>4.02</i>	<i>0.88</i>	<i>36.00*</i>	
Growth	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	Growth Assets (%)
AMP LS Growth Fund	111.0	-1.50 (20)	-0.21 (25)	10.39 (18)	8.83 (22)	-0.63 (23)	1.08	36.00	87.3
AMP OnePath Balanced Plus Fund	27.1	0.30 (5)	3.00 (12)	11.67 (15)	12.44 (12)	4.39 (6)	1.08	36.00	69.6
AMP Tyndall Balanced Fund	6.1	-0.71 (15)	2.35 (16)	8.38 (23)	10.11 (20)	2.58 (16)	1.08	36.00	65.5
ANZ Balanced Growth	58.9	0.53 (4)	4.21 (7)	13.67 (11)	12.63 (9)	4.90 (2)	1.02	24.00	64.8
ANZ Growth	134.8	0.21 (8)	4.48 (4)	15.75 (2)	14.06 (5)	4.36 (7)	1.07	24.00	80.3
Aon Russell Lifepoints 2035	3.6	-0.41 (12)	1.26 (20)	12.17 (14)	14.70 (2)	2.52 (17)	0.75	50.00	Und.
Aon Russell Lifepoints Growth	7.0	-0.57 (14)	1.13 (22)	12.65 (13)	14.94 (1)	2.19 (22)	0.77	50.00	Und.
Aon Tyndall Balanced	1.7	-1.08 (18)	2.17 (18)	8.63 (22)	10.23 (19)	2.64 (14)	0.78	50.00	Und.
ASB Scheme's Growth	167.1	-1.87 (22)	2.64 (13)	14.56 (7)	12.45 (11)	2.49 (18)	0.70	30.00	79.4
FC Scheme's Active Growth	16.2	-2.25 (23)	1.75 (19)	11.55 (16)	10.28 (18)	2.43 (19)	0.90	36.00	Und.
FC Scheme's Tracker Growth	12.4	-1.85 (21)	2.61 (14)	14.54 (8)	12.47 (10)	2.35 (21)	0.70	36.00	79.4
Fidelity Growth Kiwi Fund	29.3	-2.88 (24)	0.81 (23)	9.55 (21)	7.92 (23)	3.24 (12)	1.07	36.00	75.0
Forsyth Barr Growth Portfolio	3.3	-1.31 (19)	0.46 (24)	6.60 (25)	5.27 (24)	-1.25 (24)	0.65	30.00	80.9
Grosvenor Balanced Growth	12.6	-3.25 (25)	1.14 (21)	7.09 (24)	--	--	1.13	39.96	71.2
Mercer Super Trust Active Bal*	34.0	0.07 (10)	2.35 (15)	9.64 (20)	11.53 (15)	3.60 (11)	0.90	34.20	65.8
Mercer Super Trust Growth*	2.6	-0.45 (13)	2.26 (17)	11.06 (17)	11.74 (13)	2.58 (15)	0.98	34.20	77.7
National Bank Balanced Growth	104.7	0.55 (3)	4.22 (6)	13.73 (10)	12.67 (8)	4.89 (3)	1.02	24.00	64.8
National Bank Growth	215.5	0.22 (7)	4.48 (3)	15.74 (3)	14.08 (4)	4.31 (8)	1.07	24.00	80.3
OnePath Balanced Growth	6.5	-0.20 (11)	3.64 (10)	12.88 (12)	10.48 (17)	3.76 (9)	0.60	33.00	64.8
OnePath Growth	6.3	-0.74 (16)	3.70 (9)	14.79 (6)	11.30 (16)	2.85 (13)	0.65	33.00	80.3
SIL Balanced Growth	126.2	0.57 (1)	4.26 (5)	13.80 (9)	12.76 (6)	5.11 (1)	0.97	24.00	61.8
SIL Growth Fund	91.4	0.22 (6)	4.51 (1)	15.85 (1)	14.26 (3)	4.63 (5)	1.02	24.00	77.2
Staples Rodway Balanced*	8.5	0.56 (2)	4.51 (2)	15.01 (5)	12.72 (7)	3.60 (10)	1.08	39.96	62.5
Staples Rodway Growth*	5.0	-0.92 (17)	3.12 (11)	9.76 (19)	9.88 (21)	2.37 (20)	1.23	39.96	69.1
Westpac Growth Fund	128.6	0.10 (9)	3.98 (8)	15.29 (4)	11.68 (14)	4.87 (4)	0.77	31.08	77.1
<i>Average</i>		<i>-0.67</i>	<i>2.75</i>	<i>12.19</i>	<i>11.64</i>	<i>3.12</i>	<i>0.92</i>	<i>34.20*</i>	

KiwiSaver Performance Survey - Returns to 30 June 2011



Aggressive	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	Growth Assets (%)
AMP LS Aggressive Fund	95.1	-2.18 (7)	-0.91 (12)	11.22 (9)	9.29 (9)	-1.98 (10)	1.13	36.00	96.1
Aon Russell Lifepoints 2045	3.6	-0.92 (1)	0.77 (7)	13.51 (3)	15.53 (1)	0.78 (8)	0.81	50.00	Und.
AXA Growth	64.3	-3.19 (9)	0.25 (8)	13.27 (6)	12.01 (5)	2.21 (5)	1.03	36.72	85.0
Brook Professional Growth Fund	4.0	-3.67 (10)	-0.82 (11)	7.39 (11)	6.48 (11)	2.64 (3)	0.99	30.00	81.0
Fidelity Aggressive Kiwi Fund	11.0	-2.42 (8)	3.05 (1)	12.95 (8)	11.46 (8)	4.97 (2)	1.14	36.00	99.8
Fisher Funds Growth Fund	323.2	-4.53 (11)	-0.95 (13)	13.46 (4)	15.18 (2)	8.51 (1)	1.05	24.00	71.2
Grosvenor Geared Growth Fund	1.5	-5.21 (12)	-0.16 (10)	6.72 (13)	--	--	1.18	39.96	94.6
Grosvenor High Growth Fund	43.1	-5.25 (13)	-0.06 (9)	6.90 (12)	7.66 (10)	0.69 (9)	1.18	39.96	97.5
Mercer High Growth*	17.0	-1.24 (2)	2.21 (4)	13.41 (5)	13.26 (3)	1.65 (6)	0.85	34.20	94.5
Mercer Super Trust High Growth*	4.5	-1.36 (3)	2.09 (5)	13.14 (7)	12.91 (4)	1.46 (7)	1.03	34.20	94.6
TOWER Growth	50.9	-1.52 (4)	1.16 (6)	10.85 (10)	11.86 (7)	2.53 (4)	1.08	33.00	77.9
Westpac Capital Protect Plan 1	10.1	-1.82 (6)	2.72 (3)	16.46 (1)	11.96 (6)	--	0.72	31.08	97.6
Westpac Capital Protect Plan 2	8.7	-1.82 (5)	2.72 (2)	16.46 (2)	--	--	0.72	31.08	97.6
<i>Average</i>		<i>-2.70</i>	<i>0.93</i>	<i>11.98</i>	<i>11.60</i>	<i>2.35</i>	<i>0.99</i>	<i>34.20*</i>	

Single Sector Options

Cash	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	Growth Assets (%)
AMP Cash Fund	27.1	0.76 (9)	1.64 (10)	3.46 (6)	3.33 (6)	4.27 (5)	0.73	36.00	0.0
ANZ Cash	25.3	0.77 (7)	1.80 (5)	3.07 (10)	2.54 (14)	--	0.42	24.00	0.0
Aon OnePath Cash	2.1	0.64 (13)	1.50 (12)	3.08 (9)	3.15 (8)	4.27 (6)	0.42	50.00	Und.
Aon Tyndall Cash	0.9	0.85 (4)	1.68 (9)	3.58 (4)	3.42 (4)	4.42 (4)	0.43	50.00	Und.
ASB Scheme's NZ Bank Deposit	150.5	0.59 (16)	1.34 (15)	2.77 (15)	2.58 (12)	3.62 (11)	0.35	30.00	0.0
AXA Cash	15.3	0.69 (12)	1.45 (14)	2.97 (13)	3.21 (7)	3.72 (10)	0.83	36.72	0.0
FC Scheme's NZ Cash	7.3	0.62 (14)	1.33 (16)	2.74 (16)	2.55 (13)	3.60 (12)	0.35	36.00	0.0
Grosvenor Enhanced Income Fund	10.7	1.02 (1)	2.04 (1)	3.94 (2)	3.90 (3)	4.64 (3)	0.73	39.96	0.0
Mercer Cash*	8.1	0.93 (2)	2.01 (2)	4.21 (1)	4.19 (1)	4.93 (1)	0.35	34.20	0.0
Mercer Super Trust Cash*	1.4	0.84 (5)	1.84 (4)	3.92 (3)	4.10 (2)	4.83 (2)	0.50	34.20	0.0
National Bank Cash	41.4	0.77 (8)	1.80 (6)	3.07 (11)	2.54 (15)	--	0.42	24.00	0.0
OnePath Cash Fund	0.9	0.80 (6)	1.88 (3)	3.23 (7)	2.80 (11)	3.77 (9)	0.40	33.00	0.0
SIL Cash Fund	12.4	0.75 (10)	1.77 (7)	2.86 (14)	2.34 (16)	3.27 (14)	0.77	24.00	0.0
Staples Rodway Conservative*	10.1	0.86 (3)	1.71 (8)	3.55 (5)	3.36 (5)	3.77 (8)	0.83	39.96	0.0
TOWER Preservation	13.3	0.74 (11)	1.61 (11)	3.22 (8)	3.09 (9)	4.08 (7)	0.51	33.00	0.0
Westpac Cash Fund	106.4	0.62 (15)	1.47 (13)	3.05 (12)	2.96 (10)	3.54 (13)	0.37	31.08	0.0

Fixed Income	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	International Assets (%)
Mercer Super Trust Fixed Intr*	0.7	3.19 (1)	2.86 (2)	1.87 (3)	9.47 (1)	8.18 (1)	0.83	34.20	76.1
SIL International Fixed Int	1.2	1.97 (3)	2.20 (3)	3.38 (2)	5.47 (3)	7.39 (2)	0.77	24.00	95.7
SIL New Zealand Fixed Interest	3.5	2.59 (2)	5.12 (1)	7.25 (1)	8.55 (2)	6.34 (3)	0.77	24.00	0.0

Property	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	International Assets (%)
Mercer Super Trust Real Assets*	0.5	2.47 (3)	4.79 (3)	12.38 (3)	21.21 (2)	0.06 (3)	1.08	34.20	0.0
SIL Australasian Property	4.9	7.24 (1)	9.32 (2)	22.15 (2)	16.79 (3)	2.40 (1)	1.02	24.00	9.7
SIL International Property	3.7	4.83 (2)	9.58 (1)	33.02 (1)	35.09 (1)	1.43 (2)	1.02	24.00	95.9

Australasian Equity	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	Australian Assets (%)
Aon Milford	23.2	0.05 (3)	2.43 (3)	9.89 (6)	10.75 (5)	--	0.78	50.00	25.6
Grosvenor Socially Responsible	4.7	-4.03 (7)	0.27 (7)	9.70 (8)	--	--	1.08	39.96	23.3
Grosvenor Trs-Tasm Sm Coms Shr	2.6	-11.58 (8)	-9.10 (8)	13.37 (5)	--	--	1.08	39.96	68.0
Mercer Super Trust Shares*	0.8	-3.01 (6)	2.02 (6)	16.37 (3)	12.51 (3)	-0.09 (5)	1.08	34.20	7.4
Mercer Super Trust TransTasman*	0.7	-0.93 (5)	3.97 (2)	14.50 (4)	12.25 (4)	4.54 (3)	1.08	34.20	25.0
Milford Aggressive	25.3	0.05 (3)	2.43 (3)	9.89 (6)	10.75 (6)	10.37 (1)	1.05	36.00	25.6
SIL Australasian Share	8.7	0.36 (2)	6.72 (1)	17.38 (2)	12.95 (2)	4.96 (2)	1.02	24.00	14.5
Smartshares Growth	13.0	0.42 (1)	2.12 (5)	19.40 (1)	13.32 (1)	0.79 (4)	0.85%/\$40	0.00	0

International Equity	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	International Assets (%)
FC Scheme's Active High Growth	1.7	-3.80 (1)	0.63 (3)	12.15 (3)	9.55 (4)	-3.71 (5)	1.00	36.00	Und.
FC Scheme's Global Sustain	2.7	-3.95 (3)	-0.39 (6)	9.93 (5)	10.41 (3)	5.06 (1)	1.50	36.00	99.5
Grosvenor International Share	2.5	-5.70 (6)	-0.04 (4)	6.40 (6)	--	--	1.23	39.96	96.7
Mercer Super Trust Global*	1.1	-3.83 (2)	1.19 (2)	16.98 (1)	12.43 (1)	-2.56 (4)	1.08	34.20	100.0
SIL International Share	12.8	-4.73 (5)	1.98 (1)	10.65 (4)	9.12 (5)	1.00 (2)	1.02	24.00	97.1
SIL Sustainable Growth Fund	0.9	-7.12 (7)	-0.36 (5)	6.35 (7)	5.81 (6)	--	1.22	24.00	96.9
TOWER Equity	17.8	-4.49 (4)	-1.32 (7)	12.72 (2)	11.99 (2)	-0.23 (3)	1.13	33.00	97.7

Miscellaneous	Assets (\$m)	3-month (%)	6-month (%)	1-year (%)	2-year (%pa)	3-year (%pa)	Est. Total Fee (%)	Additional Fee \$/year	Growth Assets (%)
Fidelity Options Kiwi Fund	47.5	5.49 (1)	14.66 (1)	20.84 (1)	19.85 (1)	11.93 (1)	1.07	36.00	100.0

KiwiSaver Performance Survey - Returns to 30 June 2011



Assets Under Management - By Provider

	June 2011				December 2010				December 2009				December 2008		
	\$m	%	Rank	Rank Change	\$m	%	Rank	Rank Change	\$m	%	Rank	Rank Change	\$m	Rank	%
AMP	1009.7	11.8	(3)		897.2	12.5	(3)		595.6	13.5	(3)		266.0	13.9	(3)
Aon	116.7	1.4	(11)		104.9	1.5	(11)	▼	70.1	1.6	(10)		28.1	1.5	(10)
ASB	1783.7	20.8	(2)		1527.4	21.2	(2)		932.7	21.2	(2)		409.4	21.4	(2)
AXA	631.0	7.4	(5)		560.4	7.8	(5)		372.4	8.5	(5)		168.7	8.8	(5)
Brook	5.1	0.1	(16)		4.6	0.1	(16)	▼	3.4	0.1	(14)		1.3	0.1	(14)
Fidelity	207.0	2.4	(9)		174.3	2.4	(9)		85.3	1.9	(9)		29.5	1.5	(9)
Fisher	427.0	5.0	(8)		203.0	2.8	(8)		116.6	2.6	(8)		45.0	2.4	(8)
Forsyth Barr	6.8	0.1	(15)		5.5	0.1	(15)		--	--			--	--	
Grosvenor	147.8	1.7	(10)		127.1	1.8	(10)	▲	58.9	1.3	(11)		22.4	1.2	(11)
Mercer	549.4	6.4	(7)		486.3	6.8	(7)		332.9	7.6	(7)		143.3	7.5	(7)
Milford	27.2	0.3	(12)	▲	18.1	0.3	(14)		--	--			--	--	
OnePath	2094.4	24.5	(1)		1771.9	24.6	(1)		1045.9	23.7	(1)		423.1	22.2	(1)
Smartshares	20.2	0.2	(14)	▼	18.3	0.3	(13)		12.7	0.3	(13)		5.6	0.3	(13)
Staples Rodway	23.6	0.3	(13)	▼	20.9	0.3	(12)		13.6	0.3	(12)		6.1	0.3	(12)
Tower	608.9	7.1	(6)		541.1	7.5	(6)		358.8	8.1	(6)		165.0	8.6	(6)
Westpac	900.8	10.5	(4)		739.0	10.3	(4)		406.1	9.2	(4)		196.4	10.3	(4)
Total	8559.3				7199.9				4404.9				1909.8		

Returns are before tax and after fees. Estimated Total Fee is the sum of the ongoing Management Fees, the Trustee Fees, and Administration fees. The performance for AMP, ASB, AXA, Forsyth Barr and Tower reflects fees that are charged as a percentage of your account balance and paid by cancelling units. Please contact Morningstar if you require clarification. Additional fees are dollar-based Administration or Membership Fees payable in addition to the Total Fee, and are not reflected in the fund's performance. ** - Indicates a median rather than a mean. (a) Total Fee is a minimum of \$40 or 0.85 percent dependent upon account balance. Und. = Undisclosed. * - Indicates Performance numbers supplied directly from the Provider rather than calculated independently by Morningstar.

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